

Retail Research	IPO Note
Sector: Infrastructure	Price Band (Rs): 140 - 148
21 st November 2024	Recommendation: Subscribe for listing gain

Enviro Infra Engineers Ltd.

Company Overview:

Enviro Infra Engineers Ltd. is in the business of designing, construction, operation and maintenance of Water and Wastewater Treatment Plants (WWTPs) and Water Supply Scheme Projects (WSSPs) for government authorities/bodies. The Company bids for tenders issued by State Governments and ULBs (Urban Local Bodies) for developing WWTPs and WSSPs on an EPC or HAM basis. The company operates in waste to energy theme.

As of Jun'24, the company successfully developed 28 WWTPs and WSSPs across India in past seven (7) years which includes 22 projects with 10 MLD capacity and above.

Key Highlights:

1. Strong execution track record with in-house capabilities: The company has in-house team for designing, engineering and construction (EPC) which makes it self-reliant in all aspects of the business. Enviro has a team of 180 engineers supported by third-party consultants and industry experts. The company also has its own team for civil construction works thereby reducing dependence on third parties. The company successfully developed 28 WWTPs and WSSPs across India in the past seven (7) years which includes 22 projects with 10 MLD capacity and above. As of June'24, the company is executing 5 WWTPs and WSSPs projects in partnership with its joint venture partners.

2. Order book provides healthy revenue visibility: The Company has developed expertise and capability in executing diverse projects like WWTPs including CETPs (Common Effluent Treatment Plants), STPs (Sewage Treatment Plants) & SS (Sewerage Schemes), and WSSPs (Water Supply Scheme Projects), both on EPC and HAM basis. As of Jun'24, the company has an order book of Rs 1,906.3 cr which is 2.6x of its FY24 revenue and thus offers healthy revenue visibility. In HAM orders, government grants comprised of 40% of project costs while the rests are paid as an annuity over 15 years.

These order book includes 21 WWTPs and WSSPs. Post commissioning of the project, O&M provides steady cash flows and margins as O&M contracts typically last between 10-15 years.

3. Increasing presence in existing geographies with new projects: The company in the past 7 years has expanded its operation into 8 states viz Gujarat, Rajasthan, Punjab, Haryana, Uttar Pradesh, Uttarakhand and Chhattisgarh. The company intends to leverage the reputation, knowledge and experience in developing projects in other areas of these states where Enviro does not have presence.

4. Experienced management and consistent financial performance: The company promoters, Sanjay Jain and Manish Jain are qualified professionals with an individual experience of more than 2 decades in the water & wastewater treatment industry (refer to page 275 of RHP for more detail). The company in the past 3 years has registered 80.6%/78.9% CAGR in Revenue/Net profit to Rs 728.9 cr/Rs 34.6 cr respectively. The company generates one of the best EBITDA margins (+20%) in the industry given its in-house project execution capability.

Valuation: Enviro Infra Engineers Ltd, at lower/upper price band of Rs 140/148, is valued at P/E multiple of 22.6x/23.9x respectively of its FY24 earnings on post issue capital. While comparing the company with its close peers like Va Tech and Ion Exchange, the issue appears to be attractively priced on most valuation parameters. We recommend investors to subscribe to the issue for listing gain.

Issue Details	
Date of Opening	22 nd November 2024
Date of Closing	26 th November 2024
Price Band (Rs)	140 - 148
Offer for sale (shares)	52,68,000
Fresh Issue (shares)	3,86,80,000
Issue Size (Rs cr)	615 - 650
No. of shares	4,39,48,000
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	2,457 – 2,597
BRLMs	Hem Securities Limited
Registrar	Bigshare Services Private Limited
Bid Lot	101 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
To meet the Working Capital Requirement.	181.0
Infusion of funds in the Subsidiary, EIEL Mathura Infra Engineers Private Limited (EIEL Mathura) to build 60 MLD STP under the project titled 'Mathura Sewerage Scheme' at Mathura in Uttar Pradesh through Hybrid Annuity Based PPP Mode.	30.0
Repayment/prepayment in full or in part, of certain of the outstanding borrowings.	120.0
Funding inorganic growth through unidentified acquisitions and general corporate purposes.	-*
Total proceeds from fresh issue	572.5

* To be determined upon finalisation of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount to be utilized for funding inorganic growth through unidentified acquisition and general corporate purposes will not individually exceed 25% of the Gross Proceeds respectively, and will not collectively exceed 35% of the Gross Proceeds

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	12,81,75,000	93.7
Public & Others	86,75,000	6.3
Total	13,68,50,000	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	8,94,95,000	51.0
Public & Others	8,60,35,000	49.0
Total	17,55,30,000	100.0

Source: RHP, SSL Research

Key Financials

Rs cr	FY22	FY23	FY24	1QFY25
Revenue from operation	223.5	338.1	728.9	205.2
EBITDA	50.0	81.7	169.3	51.3
PAT	34.5	55.3	108.6	30.0
EBITDA Margin (%)	22.4	24.2	23.2	25.0
PAT Margin (%)	15.5	16.4	14.9	14.6
ROE (%)	48.2	55.9	51.9	9.7#
ROCE (%)	56.2	59.1	48.1	8.9#
PE (x)	58.6	36.6	18.7	67.6#
Orderbook*	169.9	1,496.7	2,125.6	1,906.3
Order Inflow^				
Number of Projects	4.00	9.00	11.00	-
Value of Projects	273.80	1,610.11	1,275.90	-

Source: RHP, SSL Research

Valuation ratios are based on pre-issue share capital

Not annualized

*Order Book shall mean estimated contract value of the unexecuted portion of the existing assigned EPC/HAM contracts and is an indicator of visibility of the future revenue.

^ Order inflow is the amount of orders won by the company for a particular financial year/ period.

Risk Factors

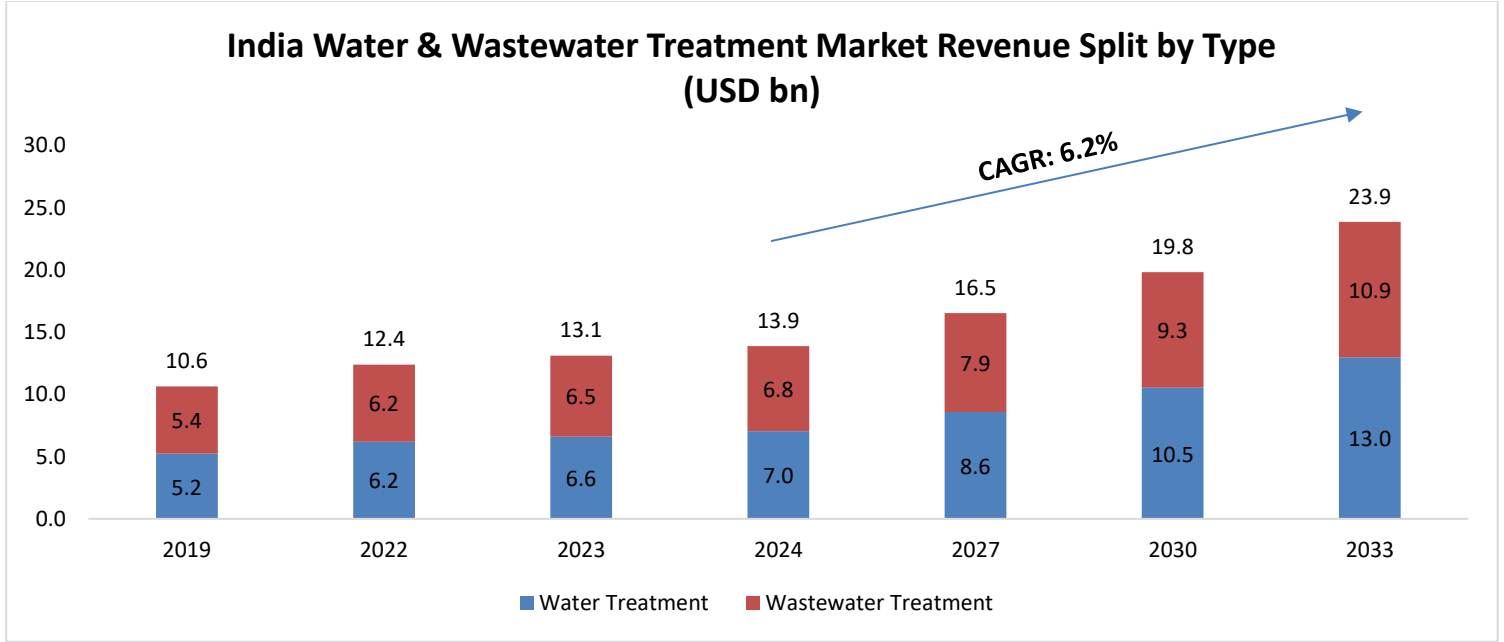
- **Funding risks from Central and State Government:** The company bid for Water and Wastewater Treatment Plants (WWTPs) & Water Supply Scheme Projects (WSSPs) funded by the Central and State Governments and derived the revenues from the contracts awarded to them. In FY24, 27.8%/68.1% of income is derived from the WWTPs and WSSPs projects respectively awarded to the company from the government. Any reduction in budgetary allocation to this sector may affect the number of projects that the government authorities/bodies may plan to develop in a particular period. This will directly affect the company's revenue impacting the profitability of the business.
- **Competitive bidding for government projects:** The company's projects are awarded through the competitive bidding process by government authorities/bodies. The company may not be able to qualify for or compete and win future projects, which could adversely affect the business.
- **Project execution risk:** The company relies on the in-house designing, engineering, and construction teams for project execution. Loss of employees or inability to retain skilled manpower may have an adverse effect on the execution of the projects.
- **Capital intensive business:** The company's business is working capital-intensive as it needs to serve bank guarantees and mobilise the manpower and equipment for project execution. Any insufficient cash flows to meet the working capital requirements may have an adverse effect on the results of the operations.

Growth Strategies

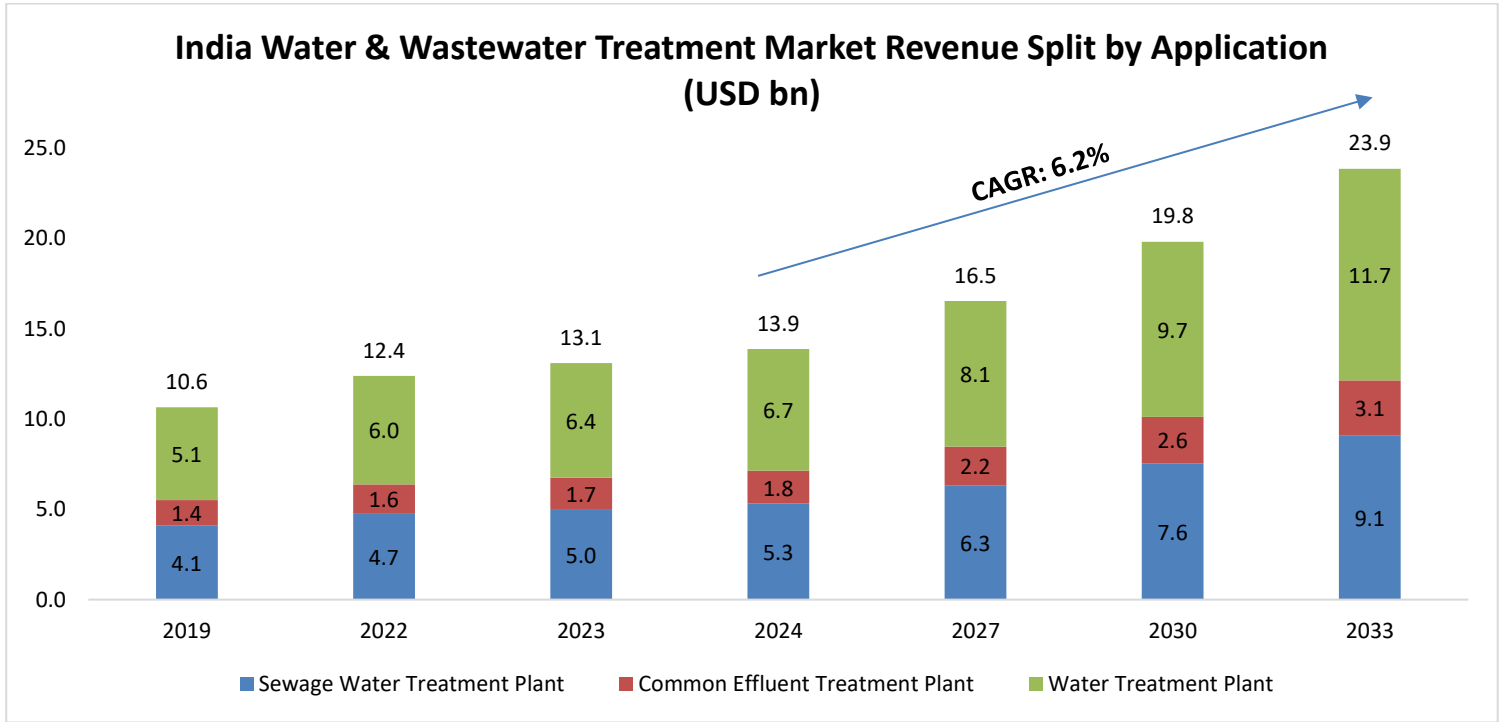
- Increasing the size of projects and pre-qualification.
- Expanding geographical footprint.
- Plan to further bid for HAM projects.
- New initiatives towards 'Waste to Energy' as a part of the projects.
- Capitalize on Government policy initiatives in WWTP and WSSP sectors.

Industry Overview

India’s water & wastewater treatment market is expected to grow at CAGR of 6.2% between 2024 – 2033: India is one of the most water-stressed countries, with about 60 cr people facing high water stress. In 2021, the annual per capita water availability was 1,486 cubic meters, and projections suggest it may decline to 1,140 cubic meters by 2050. To address this challenge, effective water management and wastewater treatment are crucial. Recycling water through treatment can provide a backup source, with reclaimed water suitable for drinking or irrigation, depending on treatment levels. The Indian water and wastewater treatment market is poised for significant growth, driven by rising demand for clean water and technological advancements, as well as the need for approximately 4,500 sewage treatment plants (STPs) due to urbanization. The government has introduced the Hybrid Annuity Model (HAM) to finance these projects, where developers cover a part of the costs while the government funds the rest. Recent data shows Maharashtra's water demand reached about 18.6 billion cubic meters in 2021, highlighting the urgent need for sustainable water management practices, particularly in industrial areas.



Source: RHP, SSL Research



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	224	338	729
YoY growth (%)	-	51.3	115.6
Cost Of Revenues (incl Stock Adj)	156	227	513
Gross Profit	68	111	216
Gross margins (%)	30.2	32.9	29.6
Employee Cost	14	22	34
Other Operating Expenses	3	8	13
EBITDA	50	82	169
EBITDA margins (%)	22.4	24.2	23.2
Other Income	2	4	9
Interest Exp.	4	8	23
Depreciation	2	2	6
PBT	46	75	150
Exceptional item/Extraordinary item	-	-	-
Tax	12	19	41
PAT	35	55	109
PAT margin (%)	15.5	16.4	14.9
EPS (Rs)	2.5	4.0	7.9

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	10	18	47
Capital WIP	0	0	1
Other Non-current Assets	24	97	152
Current Assets			
Current Investment	-	-	-
Inventories	8	10	35
Trade receivables	39	57	104
Cash and Bank Balances	25	92	149
Other Current Assets	42	74	273
Total Current Assets	114	232	561
Current Liabilities & Provisions			
Trade payables	35	98	163
Other current liabilities	17	42	58
Total Current Liabilities	52	140	221
Net Current Assets	62	93	340
Total Assets	96	208	540
Liabilities			
Share Capital	2	26	137
Reserves and Surplus	69	101	155
Total Shareholders Funds	72	127	292
Minority Interest	0	0	-2
Total Debt	18	65	234
Long Term Provisions	1	1	1
Lease Liabilities	-	-	-
Other Long-Term Liabilities	6	16	15
Total Liabilities	96	208	540

Cash Flow (Rs Cr)	FY22	FY23	FY24
Cash flow from Operating Activities	42	101	(69)
Cash flow from Investing Activities	(26)	(141)	(139)
Cash flow from Financing Activities	(16)	42	207
Free Cash Flow	38	90	(102)

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	23.3	22.3	19.6
Return on Capital Employed (%)	56.2	59.1	48.1
Return on Equity (%)	48.2	55.9	51.9
Margin Analysis			
Gross Margin (%)	30.2	32.9	29.6
EBITDA Margin (%)	22.4	24.2	23.2
Net Profit Margin (%)	15.5	16.4	14.9
Short-Term Liquidity			
Current Ratio (x)	2.2	1.7	2.5
Quick Ratio (x)	2.0	1.6	2.4
Avg. Days Sales Outstanding	64	52	40
Avg. Days Inventory Outstanding	14	10	11
Avg. Days Payables	58	72	65
Fixed asset turnover (x)	22.0	23.7	22.4
Debt-service coverage (x)	2.2	1.1	0.7
Long-Term Solvency			
Total Debt / Equity (x)	0.3	0.5	0.8
Interest Coverage Ratio (x)	11.6	9.9	7.7
Valuation Ratios			
EV/EBITDA (x)	40.4	24.5	12.5
P/E (x)	58.6	36.6	18.7
P/B (x)	28.3	16.0	6.9
EV/Sales (x)	9.0	5.9	2.9

Source: RHP, SSL Research

Peer Comparison - Financials

Particulars	Enviro Infra Engineers Ltd.	EMS Ltd.	ION Exchange Ltd.	Va Tech Wabag Ltd.	Vishnu Prakash R Punglia Ltd.
CMP (Rs)	148.0	746.0	635.0	1,700.0	273.0
Sales (Rs cr)	728.9	793.0	2,348.0	2,856.0	1,474.0
EBITDA (Rs cr)	169.3	204.0	275.0	366.0	210.0
Net Profit (Rs cr)	108.6	153.0	195.0	250.0	122.0
Mkt Cap. (Rs cr)	2,597.8	4,149.0	9,316.0	10,564.0	3,398.0
Enterprise Value (Rs cr)	2,210.3	4,084.0	9,041.0	10,355.0	3,883.0
EBITDA Margin (%)	23.2	25.7	11.7	12.8	14.2
Net Margin (%)	14.9	19.3	8.3	8.8	8.3
PE (x)	23.9	27.1	47.8	42.3	27.9
EV/EBITDA (x)	13.1	20.0	32.9	28.3	18.5
ROE (%)	51.9	22.9	21.1	13.8	23.6
ROCE (%)	48.1	29.3	27.5	19.8	24.7
EV/Sales (x)	3.0	5.2	3.9	3.6	2.6

The data is based on FY24 financial data

For Enviro Infra Engineers Ltd. the Market cap, P/E (x), EV/EBITDA (x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on closing of 19th November 2024.

Source: RHP, SSL Research

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

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IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futurex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

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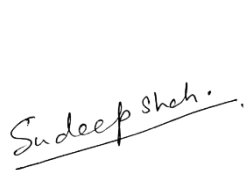
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Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Sweta Padhi	MBA (Finance)	Research Analyst - Equity Fundamentals
Uday Chandgothia	B-Tech, MBA (Finance)	Research Associate - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Ghanshyam Gupta	MBA (Finance)	Research Analyst- Currency Derivative
Sagar Peswani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

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